

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS LLC ET AL.,
RESPONDENTS.

COMPLAINANT'S RESPONSE TO RESPONDENT
OMNI LOGISTICS, LLC'S AND RESPONDENT EPIC FREIGHT SOLUTIONS LLC'S
JOINT SUR-REPLY

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SUMMARY OF ARGUMENT

In the Opening Brief, TPG explained that Respondents violated the Shipping Act Section 41102(c) because they failed to observe just and reasonable billing practices. TPG's Opening Brief described how Respondents charged mark-ups identified as "admin fees"—unpublished in their tariffs—and systematically failed to provide information about the mark-ups to TPG. Omni and Epic failed to provide proof of the propriety of at least \$584,837.29 in pass-through charges despite repeated requests from TPG. Epic and Omni never provided the master bill of lading or another documentation for pass-through charges in a timely fashion to allow TPG to determine what those carrier's charges were (Opening Brief at 24). Respondents failed to enact systemic controls to properly track containers and records resulting in avoidable demurrage charges, a fact demonstrated by the lack of such excessive demurrage and other charges when TPG employed another provider in parallel (*Id.* at 25). Finally, Respondents held TPG's unrelated cargo hostage, which was a coercive collection practice. All these acts by Respondents were unjust and unreasonable in violation of the Shipping Act and the Ocean Shipping Reform Act ("OSRA").

In their Sur-Reply Brief, Respondents baselessly claim that TPG submitted new evidence and raised a new damages theory with its Reply Brief. The truth is that TPG did not submit any new evidence in its Reply, and the TPG's arguments that Respondents mischaracterize as "new" are only rebuttals of Respondents' assertions. Respondents sought to submit new evidence in the form of carrier invoices corresponding to 6 invoices from Respondents (7203105 00, 7203107 00, 7203113 00, 7204911 00, 7209832 00, and 7210950 00) and 20 additional credit card payment receipts, but, in fact, submitted 689 pages of additional documentation comprising far more than the documents they requested to add to the record. Nevertheless, none of Respondents' arguments or evidence rebut TPG's evidence demonstrating Respondents' unjust and unreasonable practices.

Respondents also mischaracterize TPG's claim with respect to the \$390,336.80 in charges that Respondents argue TPG must pay. TPG is not liable for the charges amounting to \$390,336.80 for the same reasons it seeks reparations with respect to the amount TPG has paid: these charges result from Respondents' unjust and unreasonable practices. TPG properly requested in its Opening Brief an Order precluding Respondents from demanding that TPG pay unsubstantiated and unlawful charges.

TPG incorporates its *Response In Opposition To Respondents' Motion For Leave To File Sur-Reply And To Supplement The Record* by reference as if fully stated herein.

ARGUMENT

I. TPG's Damages Theory Remains Consistent; Respondents Have Failed to Rebut It

Respondents do not legitimately dispute TPG's damages theory. Instead, they mischaracterize TPG's rebuttals to the Joint Response as new arguments. Respondents' assertions are unfounded. Respondents complain of TPG's "constantly evolving" damages calculation; however, the only argument the Sur-Reply offers is a repetition of an argument made in their Response Brief, citing the Initial Decision in *Bakerly, LLC v. Seafrigo USA Inc.*, FMC Docket No. 22-17 (Jan 3, 2024) for the proposition that "case law does not support [the] position that pass-through charges must always include the underlying ocean carrier/marine terminal invoices." *Id.* Respondents engage in a strawman argument. It is not TPG's contention that Respondents' charges must always include the underlying carriers' invoices. All TPG has repeatedly asked is for Respondents to provide documentation supporting propriety of their substantial charges. Respondents failed to do so. (Claimant's Proposed Findings of Fact ¶¶ 138-141.) For example, documents that would explain why the containers were at the terminal for days Respondents did

not arrange to have them picked up, resulting in excessive demurrage; or documents that would support Respondents' claims that there was congestion at the port. Respondents failed to provide any such documentation. (*Id.*)

II. Respondents' Supplemental Evidence Does Not Establish That They Adhered to Just and Reasonable Practices

Respondents sought to supplement the record with 26 documents in the form of (1) carrier invoices corresponding to 6 invoices from Respondents (7203105 00, 7203107 00, 7203113 00, 7204911 00, 7209832 00, and 7210950 00); and (2) 20 additional credit card payment receipts.

First, Respondents should have provided these documents when TPG requested them back in 2022, not after TPG was forced to file this case against Respondents. As the record shows, TPG made numerous requests for documents, and Respondents had ample time to supply these to TPG.

Second, although Respondents requested that they be permitted to supplement the record with a total of 26 documents (Joint Combined Motion to File Sur-Reply at 9), Respondents misled TPG and this Court, instead filing 689 pages of documentation. The additional documents should be disregarded.

Third, as TPG has already made abundantly clear, credit card receipts alone may establish that Respondents paid the charges, but with no detail to allow TPG to evaluate the correctness or validity of the charges, **Respondents fail to meet their obligation to support the propriety of substantial pass-through charges.** (*E.g.*, Reply at 13-16.) Substantial undocumented charges are presumptively unreasonable. *Gruenberg-Reisner v. Overseas Moving Specialists d/b/a Int'l Sea & Air Shipping*, 2017 WL 2241031, at *10 (May 17, 2017). FMC precedent firmly establishes that, **where charges are substantial, they must be supported with proof of their propriety.** *C.H.*

Leavell & Co. v. Hellenic Lines, Ltd., 13 F.M.C. 76, 89 (FMC 1969). Credit card receipts are not sufficient to establish “proof of the propriety” of substantial charges under *Id.*; *Gruenberg-Reisner*, 2017 WL 2241031, at *10. Respondents’ attempt to argue the contrary by suggesting they “obviously had no incentive to pay expenses out of pocket if they were not legitimately owed” (Response Brief at 13) is unavailing. By their own admission, Respondents paid charges by credit card (Response Brief at 11) with full confidence they were secured by lien rights over any TPG’s cargo (Response Brief at 20). Consequently, Respondents had no incentive to ensure charges were reasonable.

III. Respondents Improperly Invoiced TPG \$584,837.29

Respondents quibble with TPG’s phrasing, erroneously arguing that TPG seeks a windfall. TPG properly requested in its Opening Brief an Order precluding Respondents from demanding that TPG pay unsubstantiated and unlawful charges. The matter is simple: TPG claims that of all the amounts paid *and owing* to Respondents, (*i.e.*, including the unpaid invoices), Respondents overcharged TPG by \$584,837.29. Accordingly, TPG is not seeking a windfall; rather, it is seeking a refund for unlawful sums TPG already paid, and further, that Respondents cease collection of unlawful amounts. The issuance of a cease-and-desist order is appropriate to prevent the resumption of illegal activity.

The imposition of a cease and desist order normally requires a showing that unlawful conduct is ongoing or likely to resume. *See Alex Parsinia d/b/a Pac. Int'l Shipping and Cargo Express*, 27 SRR 1335, 1342 (ALJ 1997) (“a cease and desist order is appropriate when the record shows that there is a likelihood that offenses will continue absent the order and when the record discloses persistent offenses”); and *Portman Square Ltd.-Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 28 SRR 80, 86 (ALJ 1998) (“the general rule is that [cease and desist] orders are appropriate when there is a reasonable likelihood that respondents will resume their unlawful activities”).

Maher Terminals, LLC v. Port Authority of New York and New Jersey, Docket No. 08-03, 32 S.R.R. 1185, 1190 n.8 (FMC Jan. 31, 2013). Here, there is no doubt that the Respondents' illegal activity—collection of invoices for unjust and unreasonable charges—will resume if not prevented by the cease-and-desist order. Accordingly, the relief sought is perfectly justified.

The unlawful amount could be offset with the lawful amount due, such that Respondents would have to pay to TPG as reparations \$584,837.29 *less* the \$390,336.80 Respondents claim is owed (RApp3 ¶¶ 21, 23; RApp5-6), provided the cease-and-desist order is issued with respect to the \$390,336.80. Further, under 46 U.S.C. § 41305(c), for injury caused by an activity prohibited by 41102(c), as is the case here, it is within the Commission's discretion to order Respondents to pay additional amounts not exceeding twice the amount of the actual injury.

CONCLUSION

The evidence in the record reflects that Respondents Epic and Omni, engaged in unjust and unreasonable billing practices in violation of Section 41102(c), resulting in TPG having to pay \$584,837.29 in unjustified demurrage and other ancillary charges. TPG requests that the Commission issue an order (1) declaring that Respondents violated the Shipping Act; (2) awarding TPG damages in the sum of \$584,837.29 by requiring that Respondents reimburse TPG for sums paid and cease and desist collection of the sum unpaid; (4) ordering Respondents to pay interest under 46 U.S.C. § 41305(a), and reasonable attorneys' fees under 46 U.S.C. § 41305(e); (5) awarding TPG additional amounts not to exceed twice the amount of the actual injury as provided under 46 U.S.C. § 41305(c) relating to violations of USC§41102(c); and (6) awarding TPG such other and further relief as the Commission determines to be just and proper.

Dated: July 3, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on July 3, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of December 6, 2022, as follows:

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